Axon Enterprise (AXON)
Unmatched Public Safety Ecosystem

Axon Enterprise screens as a Buy with a $536.50 blended target, 37% above the current price.

Analyst: Justin Wen

BUY	$536.50	+37%	$392.64
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

Unmatched Public Safety Ecosystem. Vertically integrated hardware (TASER, Body 4) feeding a high-margin software suite with 126% net revenue retention and $15.1B in future contracted bookings [10-Q Q2 FY26]. Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build [10-Q Q2 FY26]. Derating Created the Setup. Down 38% from highs to $390 [Mkt 17-Oct-26], the stock now trades ne

The latest print

Growth Is Bulletproof, Profitability Is Not. Ten straight quarters of 30%+ revenue growth (+35.3% in Q2), but $590-620M of SBC keeps GAAP margins negative and FCF near breakeven on an inventory build.

Derating Created the Setup. Down 38% from highs to $390, the stock now trades near peer multiples. Our $609.50 DCF base implies ~56% upside; consensus targets sit near $718.

$904.4M	$15.1B	$1.6B	126%	26.8%	$29.4M
REVENUE (Q2 FY26)	FUTURE CONTRACTED BOOKINGS	ANNUAL RECURRING REVENUE	NET REVENUE RETENTION	ADJ EBITDA MARGIN	GAAP NET INCOME

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Axon Enterprise, Inc. valuation framework

Key metrics in detail

METRIC	LATEST	VS YEAR AGO	TREND
Revenue (Q2 FY26)	$904.4M	+35.3% YoY	Up
Future Contracted Bookings	$15.1B	+41% YoY	Up
Annual Recurring Revenue	$1.6B	+39% YoY	Up
Net Revenue Retention	126%	+1 pt	Up
Adj EBITDA Margin	26.8%	+1.1 pts	Up
GAAP Net Income	$29.4M	-$6.7M YoY	Down
Free Cash Flow	~$0M	inventory build	Down
FY26 Revenue Growth Guide	32-34%	raised from 30-32%	Up

The moat

AI Era Plan adoption grew ~700% YoY

The growth engine

Dedrone counter-drone at $100M quarterly run-rate; Platform Solutions +123%

Three scenarios make the valuation range explicit

Three scenarios, weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	2027-36 CAGR	2036 REVENUE	2036 EBIT MARGIN	TARGET	UPSIDE
Bear	25%	17.1%	$18.01B	26.5%	**$246.11**	-37%
Base	50%	21.7%	$26.28B	33.0%	**$575.42**	+47%
Bull	25%	23.4%	$30.29B	33.0%	**$749.06**	+91%

Bear: downside case at $246.11 (-37%).

Base: central case at $575.42 (+47%).

Bull: upside case at $749.06 (+91%).

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The probability-blended target implies 37% upside

A 25% Bear / 50% Base / 25% Bull weighting implies +37% from the $392.64 reference price.

$536.50
BLENDED TARGET

The valuation uses a multi-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

Mechanics are explicit. The bridge runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Revenue base (2026E)	**$3.70B**
Valuation horizon	**2027-2036**
Live WACC	**12.43%**
Terminal growth	**5.0%**
Net debt	**$1.15B**
2036 FCF (Base)	**$5.83B**
10-year Treasury yield	**5.2%**
Beta	**1.44**
Equity risk premium	**5.0%**

BUY | $536.50 blended target | Wen

The reverse DCF: what the market prices in

Holding the base-case FCF margin flat, the market-implied revenue CAGR is 19.5%. Market-implied 10-yr revenue CAGR: 19.5%

Reverse DCF sensitivity

Implied enterprise value and share price at each five-year revenue CAGR, with the base-case free cash flow margin held flat. The highlighted row sits nearest the market-implied CAGR.

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CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR	Implied EV	Implied price	CAGR
-10%	$4.3B	$37.54	+10%	$16.9B	$190.22	+30%	$70.4B	$839.09	+50%	$266.3B	$3,212.22	+70%
-9%	$4.5B	$40.90	+11%	$18.1B	$205.52	+31%	$75.5B	$900.41	+51%	$283.6B	$3,422.47	+71%
-8%	$4.8B	$44.53	+12%	$19.5B	$221.98	+32%	$80.9B	$965.87	+52%	$302.0B	$3,645.23	+72%
-7%	$5.2B	$48.46	+13%	$20.9B	$239.69	+33%	$86.6B	$1,035.72	+53%	$321.5B	$3,881.17	+73%
-6%	$5.5B	$52.69	+14%	$22.5B	$258.72	+34%	$92.8B	$1,110.21	+54%	$342.1B	$4,130.97	+74%
-5%	$5.9B	$57.26	+15%	$24.2B	$279.17	+35%	$99.3B	$1,189.63	+55%	$363.9B	$4,395.37	+75%
-4%	$6.3B	$62.20	+16%	$26.0B	$301.15	+36%	$106.3B	$1,274.27	+56%	$387.0B	$4,675.12	+76%
-3%	$6.7B	$67.53	+17%	$28.0B	$324.74	+37%	$113.8B	$1,364.44	+57%	$411.5B	$4,971.03	+77%
-2%	$7.2B	$73.29	+18%	$30.0B	$350.07	+38%	$121.7B	$1,460.46	+58%	$437.3B	$5,283.92	+78%
-1%	$7.7B	$79.50	+19%	$32.3B	$377.24	+39%	$130.1B	$1,562.67	+59%	$464.6B	$5,614.65	+79%
+0%	$8.3B	$86.21	**+20%**	**$34.7B**	**$406.39**	+40%	$139.1B	$1,671.44	+60%	$493.4B	$5,964.14	+80%
+1%	$8.9B	$93.45	+21%	$37.3B	$437.63	+41%	$148.7B	$1,787.13	+61%	$523.9B	$6,333.33	+81%
+2%	$9.5B	$101.26	+22%	$40.0B	$471.12	+42%	$158.8B	$1,910.14	+62%	$556.1B	$6,723.21	+82%
+3%	$10.2B	$109.69	+23%	$43.0B	$507.00	+43%	$169.6B	$2,040.90	+63%	$590.1B	$7,134.82	+83%
+4%	$11.0B	$118.78	+24%	$46.2B	$545.41	+44%	$181.1B	$2,179.82	+64%	$625.9B	$7,569.22	+84%
+5%	$11.8B	$128.58	+25%	$49.6B	$586.53	+45%	$193.3B	$2,327.38	+65%	$663.7B	$8,027.55	+85%
+6%	$12.6B	$139.14	+26%	$53.2B	$630.53	+46%	$206.2B	$2,484.04	+66%	$703.6B	$8,510.97	+86%
+7%	$13.6B	$150.53	+27%	$57.1B	$677.58	+47%	$219.9B	$2,650.32	+67%	$745.7B	$9,020.71	+87%
+8%	$14.6B	$162.79	+28%	$61.2B	$727.89	+48%	$234.5B	$2,826.73	+68%	$790.1B	$9,558.04	+88%
+9%	$15.7B	$176.00	+29%	$65.7B	$781.65	+49%	$249.9B	$3,013.84	+69%	$836.8B	$10,124.29	+89%

Balance sheet and share count reconciliation

Enterprise value converts to equity value after net debt, and targets divide by diluted shares.

SCENARIO	ENTERPRISE VALUE	EXIT EV/ FCF	TERMINAL GROWTH	PLUS: NET CASH	EQUITY VALUE	TARGET
Bear	$27.16B	—	5.0%	-$1.15B	$26.00B	**$246.11**
Base	$61.95B	—	5.0%	-$1.15B	$60.80B	**$575.42**
Bull	$80.30B	—	5.0%	-$1.15B	$79.15B	**$749.06**

Fair value across scenarios

Model fair value by year under each scenario, on the same paths the ticker page chart draws.

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SCENARIO	2026	2027	2028	2029	2030	2031	2032	2033	20
Bear	$246.11	$276.70	$315.96	$359.05	$405.79	$455.79	$508.51	$563.48	$620.
Base	$575.42	$646.94	$731.67	$824.74	$925.42	$1,032.54	$1,144.58	$1,259.85	$1,376.
Bull	$749.06	$842.17	$951.16	$1,071.41	$1,202.15	$1,342.16	$1,489.71	$1,642.80	$1,799.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $536.50 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

CASCADIA ANALYTICS

The sum-of-the-parts build: five segments to $29.55B of 2036 revenue

The workbook builds Axon bottom-up in five segments, each with its own revenue, EBITDA and free cash flow path from 2026 to 2036, rather than applying traded multiples segment by segment. The terminal-year picture is the cross-check.

COMPONENT	2036 REVENUE	2036 EBITDA MARGIN	2036 EBITDA
Dedrone (counter-drone)	$3.47B	32.5%	$1.13B
Mass surveillance (RTCC + ALPR)	$1.28B	36.5%	$467M
Evidence.com & Cloud SaaS	$18.50B	42.5%	$7.86B
TASER (Weapons & Cartridges)	$4.00B	32.5%	$1.30B
Body Cameras & Sensors	$2.30B	17.5%	$402M
Total 2036 revenue			**$29.55B**
Total 2036 EBITDA			**$11.16B**
Total 2036 unlevered FCF			**$7.23B**
Bull-case 2036 revenue (DCF)			**$30.28B**
Revenue gap, SOTP vs Bull case			**-$732M**

The mix shifts toward software: Evidence.com & Cloud SaaS grows from 43.2% of revenue in 2026 to 62.6% in 2036, and the blended EBITDA margin expands from 25.0% to 37.8% across the build.

The segment build totals $29.55B of 2036 revenue against $30.28B in the DCF Bull case. Revenue gap: SOTP total vs Bull-case 2036 ($M revenue; Flock backlash deficit, not a price target).

Methodology note. Segment figures are the Segment Build tab of the model workbook (all $M), summed in its own reconciliation. The build is a revenue and cash flow cross-check on the DCF scenarios, not a separate price target.

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Agency risk score 27 of 100: high agency risk, the value-trap profile

The score follows the website's Executive Alignment & Agency Risk model: insider ownership up to 40 points, open-market Form 4 flow over the trailing six months up to 30, and pay-for-performance up to 30. Insiders hold 4.51% of shares outstanding. Form 4 filings over the trailing six months show $0 of open-market purchases against $60.15M of sales, a net flow of -$60.15M. One-year total shareholder return is -44.0% against CEO total pay of $40.0K (Mr. Patrick W. Smith), which the model scores as SUB-OPTIMAL ALIGNMENT.

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AGENCY RISK SCORE, OF 100

The three components

COMPONENT	SCORE	WHAT THE SITE SHOWS
Insider Ownership (Skin in the Game)	15 / 40	4.51% of shares held by insiders
Form 4 Flow (Conviction Flow)	0 / 30	Buys $0 (0) vs sales $60.15M (16), net -$60.15M, trailing six months
Pay-for-Performance	12 / 30	SUB-OPTIMAL ALIGNMENT: Negative Shareholder Returns vs Static Executive Comp. 1Y TSR -44.0%; Mr. Patrick W. Smith, Founder, CEO & Director, total pay $40.0K
Agency Risk Score	**27 / 100**	Regime: HIGH AGENCY RISK // VALUE TRAP

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Recent Form 4 filings

DATE	FILER	RELATION	TYPE	SHARES	VALUE
2026-09-11	Fields Isaiah	Officer	SELL	1,017	$488.6K
2026-09-08	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$5.09M
2026-08-31	Isner Joshua M	President	SELL	16,775	$9.64M
2026-08-21	Kunins Jeffrey C	Chief Technology Officer	SELL	9,605	$6.02M
2026-08-07	Smith Patrick W.	Chief Executive Officer	SELL	9,930	$5.45M
2026-08-07	Smith Patrick W.	Chief Executive Officer	SELL	70	$39.7K
2026-07-07	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$6.44M
2026-06-29	Smith Patrick W.	Chief Executive Officer	SELL	10,000	$5.00M

SEC proxy audit, DEF 14A filed 2026-04-16

Alignment grade B. DATA NOT IN EXCERPT. Patrick W. Smith, fiscal 2025 vs fiscal 2024; total compensation change year on year: N/A.

BASE SALARY	STOCK AWARDS	NON-EQUITY INCENTIVE	OTHER COMPENSATION
Not reported in excerpt	Not reported in excerpt	Not reported in excerpt	Not reported in excerpt

Founder mode: symbolic salary, equity-aligned.

The excerpt contains general meeting information and corporate governance disclosures through page 13, omitting the Summary Compensation Table located on page 47. Axon conducted shareholder outreach across 40% of shares following prior say-on-pay results to evaluate compensation alignment. Detailed CD&A disclosures are required to quantify shifts in executive awards and performance metrics.

Proxy audit source: SEC EDGAR DEF 14A, audited 2026-10-18 by the weekly proxy pipeline. Filing: https://www.sec.gov/Archives/edgar/data/1069183/000162828026025521/axon-20260416.htm

Methodology. This module reuses the website's Executive Alignment & Agency Risk model unchanged. Scores of 75 and above band as founder-mode, high conviction; 45 to 74 as balanced, typical corporate; below 45 as high agency risk. Inputs are the same feeds behind the site model (Yahoo Finance insider holdings, Form 4 transactions and executive compensation) plus the SEC DEF 14A CD&A audit from the weekly proxy pipeline. Computed 21 October 2026 for this note.

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The bear case

Supply Chain & Tariffs

Global supply chain disruptions and international tariffs threaten hardware gross margins and physical unit capacity; management warned Q3 margins face pressure from memory costs with no tariff refunds yet.

Stock-Based Compensation

Stock-based compensation guided at $590-620M in 2026 creates massive equity dilution and keeps GAAP operating margins negative.

Convertible Overhang

The September 2026 $1B 0% convertible notes due 2031 added leverage and future dilution overhang, and the stock has traded heavy since the offering.

The strengths

Operating Quality

Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.

Recent Trend

Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on invent

Forward Growth

Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.

Valuation

The 38% derating changed the math: DCF base $609.50 implies ~56% upside at $390. Forward P/E of 37x and PEG of 1.5 are still demanding, and GAAP earnings remain near zero, so this is a growth-multiple story, not a value one.

Cascadia scorecard

Composite score 74: Attractive. Confidence High, as of 17-Oct-2026.

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PILLAR	RATIONALE	SCORE
Operating Quality	Unmatched public-safety ecosystem with real switching costs: 126% net revenue retention, $1.6B ARR, $15.1B in contracted bookings. Offset by heavy SBC ($590-620M guided), negative GAAP margins, and a new $1B convertible adding leverage.	57
Recent Trend	Ten consecutive quarters of 30%+ revenue growth (+35.3% in Q2), bookings +41%, ARR +39%, adjusted EBITDA margin expanding to 26.8%. Counterweights: GAAP net income fell, margins pressured by memory costs and tariffs, FCF near zero on inventory build.	78
Forward Growth	Guide raised to 32-34% FY26 growth with a clean beat-and-raise record. AI Era Plan up ~700%, Dedrone at a $100M quarterly run-rate, and a $6B revenue 2028 target. Hardware capacity is the gating factor, not demand.	88
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Catalysts & Risk	Nov 3 Q3 earnings is the near-term test, with a pre-warned margin hit from memory costs and tariffs. TASER 10 capacity expansion and counter-drone momentum are positives. The $1B convertible adds dilution overhang. Skew positive after the derating.	68

Investment view

A Q3 FY26 beat showing the margin warning was temporary would lift Trend and Valuation. Conversely, a guide cut, further SBC escalation, or a drop in net revenue retention would break the growth narrative and compress multiples again.

Investment view: Buy. The $536.50 blended target implies +37%, balancing the $246.11 / $575.42 / $749.06 Bear / Base / Bull outcomes.

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